

Example of Commitment on Unattractive Terms. An investment in the soundest type of enterprise may be made on unsound and unfavorable terms. Prior to 1929 the value of urban real estate had tended to grow steadily over a long period of years; hence it came to be regarded by many as the “safest” medium of investment. But the purchase of a preferred stock in a New York City real estate development in 1929 might have involved *terms* of investment so thoroughly disadvantageous as to banish all elements of soundness from the proposition. One such stock offering could be summarized as follows:³

1. *Provisions of the Issue.* A preferred stock, ranking junior to a large first mortgage and without unqualified rights to dividend or principal payments. It ranked ahead of a common stock which represented no cash investment so that the common stockholders had nothing to lose and a great deal to gain, while the preferred stockholders had everything to lose and only a small share in the possible gain.

2. *Status of the Issue.* A commitment in a new building, constructed at an exceedingly high level of costs, with no reserves or junior capital to fall back upon in case of trouble.

3. *Price of the Issue.* At par the dividend return was 6%, which was much less than the yield obtainable on real-estate second mortgages having many other advantages over this preferred stock.⁴

Example of a Commitment on Attractive Terms. We have only to examine electric power and light financing in recent years to find countless examples of unsound securities in a fundamentally attractive industry. By way of contrast let us cite the case of Brooklyn Union Elevated

³ The financing method described is that used by the separate owning corporations organized and sponsored by the Fred F. French Company and affiliated enterprises, with the exception of some of the later Tudor City units in the financing of which interest-bearing notes, convertible par for par into preferred stock at the option of the company, were substituted for the preferred stock in the financial plan. See *The French Plan* (10th ed., December 1928) published and distributed by the Fred F. French Investing Company, Inc. See also *Moody's Manual*; “Banks and Finance,” 1933, pp. 1703–1707.

⁴ The real-estate enterprise from which this example is taken gave a bonus of common stock with the preferred shares. The common stock had no immediate value, but it did have a potential value which, *under favorable conditions*, might have made the purchase profitable. From the investment standpoint, however, the preferred stock of this enterprise was subject to all of the objections which we have detailed. Needless to say, purchasers of these issues fared very badly in nearly every case.